

# VD Law Group

291 - 293 Splaiul Independentei | Riverside Tower  
13<sup>th</sup> floor | 6<sup>th</sup> District, Bucharest | [office@vdlawgroup.com](mailto:office@vdlawgroup.com)

DATE 27 July 2026 (the “**Drafting Date**”)  
FROM VASILESCU DEJAN SPARL (the “**Law Firm**” or “**VD Law Group**”)  
DIRECT LINE +40 729 817 623  
ENTITY BITSWIFT TECHNOLOGIES INC  
SUBJECT **Legal opinion – “BLI Token”**  
*Privileged and Confidential*

## 1. GENERAL OVERVIEW

### 1.1 *Introductory Description. Background Information and Documentation*

This opinion is meant to provide an overview of the BLI Token’s characteristics, which represents a crypto - asset conceptually created using the blockchain technology, as envisioned and duly proposed for being offered by its issuer – BITSWIFT TECHNOLOGIES INC, incorporated under the laws of Republic of Panama with registration number 155773464, headquartered at Advanced Tower, 1st Floor, Office C-D, Ricardo Arias Street, Panama City, Republic of Panama (hereinafter referred to as the “Company”).

Based on the documentation provided by the Company, including (a) BLI Token Whitepaper - <https://whitepaper.boundprotocol.com/>, (b) official website <https://boundprotocol.com/>, as well as (c) additional written materials made available to us, we have set out below a description of the protocol and the specific role of the rwaUSD Token within BOUND Protocol (“**Documentation**”).

For the avoidance of doubt, the Whitepaper was not reviewed for MiCA compliance and has only been considered for factual background purposes. This opinion therefore does not assess, and should not be interpreted as confirming, whether the Whitepaper meets applicable MiCA disclosure, content, or form requirements. Our legal assessment relies primarily on the supplementary information provided directly by the Company.

The purpose of this section is to provide a factual overview of the protocol’s design and token mechanics, which will serve as the basis for the subsequent legal analysis of the Token under Regulation (EU) 2023/1114 on Markets in Crypto-Assets (“**MiCA**”).

We note that the Whitepaper made available at <https://boundprotocol.com/documentation/whitepaper> contains descriptive language relating to the stability, yield characteristics and collateral performance of the rwaUSD and BLI Tokens. For the purposes of this opinion, such statements are interpreted strictly as technical explanations of protocol mechanics and not as legal commitments, guarantees, redemption rights, or investment return promises.

To the extent that the Whitepaper uses expressions such as “stablecoin”, “yield-bearing stablecoin”, “price appreciation”, or similar terminology, these are understood as relating to the intended algorithmic behaviour of the protocol, and not as establishing any right or expectation of

stable value, income, or profit for token holders. Any marketing or communication that frames rwaUSD or BLI as investment products or stable-value instruments may materially impact the regulatory analysis set out in this Opinion

i. Description of the Protocol

The BOUND Protocol is structured as a multi-token ecosystem combining access, exposure to collateral appreciation, and governance. It enables users to obtain exposure to the performance of protocol-managed collateral while embedding mechanisms that ensure sustainability and long-term alignment of interests (hereinafter referred to as the “**Platform**”).

The process begins when users convert rwaUSD into BLI, thereby gaining access to a token linked to the appreciation of surplus collateral value within the protocol. To carry out this exchange, an access fee of 88 basis points of the transaction value is applied.

The protocol also incorporates a governance layer through the BOUND Token. Fees collected in rwaUSD are automatically burned, ensuring a deflationary supply dynamic. Additionally, users who elect to pay fees directly in BOUND Token benefit from a 50% fee reduction, incentivizing long-term holding and active participation in governance.

This design establishes a balanced system: rwaUSD functions as the entry mechanism, BLI provides exposure to collateral performance, and BOUND Token underpins governance and incentive alignment.

ii. Role of the BLI Token

For the purposes of this opinion, “**Token**” refers to the digital asset issued under the designation BLI, while “**Services**” means the protocol’s mechanisms that generate, manage, and distribute surplus collateral through professionally managed yield strategies and algorithmic arbitrage operations.

Unlike rwaUSD Token that functions primarily as an access medium to the protocol, the Token provides users with exposure to the collateral surplus created by the Services. This surplus arises when the protocol’s dual-component collateral system — comprising (i) illiquid collateral in the form of tokenized shares of a vault called “Bound Rserve” and (ii) liquid collateral reserves in USDC used for peg arbitrage — generates value in excess of baseline collateral requirements.

As described in the Documentation, at launch, the users obtain the Token exclusively through the conversion of rwaUSD on a 1:1 basis, and its subsequent value reflects the protocol’s capacity to generate surplus collateral. The Token thus connects holders directly with the economic output of the Services, functioning as a performance index while deliberately avoiding the grant of ownership rights or redemption claims against any legal entity.

1.2 *Company Overview*

The Company purports its role solely as the issuer of the Token, which is tied to the operational aspects of the Ecosystem.

Based on the description of its activity, we are of the opinion that there is no indication suggesting the Company’s involvement in a high-risk industry. As such, even if the blockchain and emerging technology fields are intrinsically entailing a set of specific risks and that the Project is addressed to satisfy specific necessities which should accrue in the future, this is merely a general characteristic of almost all blockchain-based projects.

1.3 *Confirmed Facts*

As at the Drafting Date, information related to the Project are already displayed on the Website in brief, while the elaborated Documentation, as endorsed by Company further outlines its vision as at least at an incipient phase of the Project.

We shall also point out that the issuance of the Token will be conducted via Ethereum Blockchain, the characteristics of which are capable of being depicted by any reasonably skilled interested person on the basis of publicly available information relating thereto.

It can be thus inferred that a series of operations which use this blockchain infrastructure should be transparent and made available by means of explorer platforms, accessible from links such as: <https://etherscan.io/> (the “**Explorer**”).

#### 1.4 *Scope of this Legal Opinion*

Company decided to request a legal opinion regarding the qualification of the Token in view of the EU and Romanian legislative frameworks, by considering that (i) the Project could be made available also in Europe and (ii) the Company has envisioned to carry out its activities in Romania and the EU and.

Accordingly, the purpose of this opinion is to examine the characteristics of the Token in order to establish as to which class of crypto-assets this particular token can be most reasonably placed into, based on the legislation in force at the EU level and additionally in Romania as at the Drafting Date.

More specifically, this letter shall express VD Law Group’s (as the author thereof) opinion regarding the classification of the Token as a financial instrument, based on this limitative legislative framework and on the legal provisions regulating the profession of lawyers in Romania.

We are going to assess the matter at hand by taking into account both the static characteristics (namely those that outline its nature and intrinsic qualities) and the apparent dynamic connections of the Token with the Ecosystem strictly from a legal perspective, and irrespective of all technical and/or technological matters which do not usually fall in the remit of attorneys-at-law.

Nonetheless, it must be pointed out that this opinion will analyse the Project and its purported or so-envisioned attributes exclusively to the extent that it shall be deemed intrinsically-associated with the Token. In other words, by means of this opinion no conclusions should be drawn with respect to the nature of any entity, association or businesses *per se*, nor with any other crypto-asset (such as NFTs) or otherwise it would exceed the inherent limits of the present scrutiny.

#### 1.5 *Information About the Author of this Legal Opinion*

This Legal Opinion (or the “**Opinion**”) is issued in format text by VD Law Group, a full-service EU law firm based in Bucharest entrusted by multinational companies and reputable entrepreneurs with providing highly specialized legal services in all areas of business law.

VD Law Group’s dedicated department for FinTech, Blockchain, New and emerging technologies provides outstanding legal solutions to the most complex and reputable fintech businesses, thus, succeeding in managing:

- more than 400 new blockchain and crypto projects such as ICOs, IEOs, exchange service providers (online and physical crypto-exchanges, ATMs, OTC desks), marketplaces, NFTs, chains, supply chain service providers, gaming platforms and cross chain platforms;
- one of the first lending based crowdfunding platform licensed in Romania;

- the implementation of crypto – related payment service of the largest payment processor and gateway in Romania;
- the implementation of the first crypto- trading algorithm in Romania.

VD Law Group has been honored with the prestigious Band 1 ranking in the Fintech category by Chambers and Partners, marking its remarkable debut in the first year the Fintech category has been introduced for Romania.

Additionally, VD Law Group is listed by Legal 500, International Comparative Legal Guides and Global Legal insights in the areas of fintech, blockchain and crypto - assets.

## **2. PRESENTATION OF THE BLI TOKEN. INCIDENTAL CONSIDERATIONS**

### *1.1 Blockchain Technology*

The Token is a class of crypto-asset (within the meaning of EU legislation), of whose generation inherently implies the use of the distributed ledger technologies herein referred to as “**Blockchain**”.

Blockchain can be regarded as a ground-breaking open-source technology that has the potential to safely and securely revolutionize all types of offline and online supply chains, technologies and databases, bringing them to unprecedented levels of efficiency and security to various sectors of activity. In more technical terms, blockchain represents a particular subset of distributed ledger technology. This stands for a method of safely recording and sharing data across multiple data stores, each of them having the exact data records, and being collectively maintained and controlled by a distributed network of computer servers.

Such mechanism also employs an encryption method known as cryptography and uses a set of specific mathematical algorithms to create and verify a continuously growing data structure – to which data can only be added, and from which existing data cannot be extracted.

An essential part of the Blockchain technology is that operations which may alter or supplement the database must be executed based on the global consensus of its participants. The direct central effect translates into secure and protected entries made into an immutable ledger that cannot be altered or affected by third parties, peculiarity which has elevated the technology in terms of public trust and possibilities of development.

In practice, Blockchain is broadly deemed a technology with many practical and theoretical features; it can exhibit different implementation models and covers a wide array of systems that range from being fully permissionless to strictly permissioned. Considering that it is open-source, researchers are continually developing the Blockchain technology in search for an even more secure and robust methodology.

### *1.2 Ethereum Blockchain*

Ethereum is a public, decentralised blockchain network that enables the execution of programmable smart contracts and the issuance of native or derivative digital assets. It operates through a distributed ledger maintained by a global network of validators, ensuring transparency, immutability, and resistance to single-point failures.

Following its transition to a proof-of-stake consensus mechanism, Ethereum provides enhanced energy efficiency while maintaining the security and decentralisation that underpin its ecosystem. The network’s compatibility with the Ethereum Virtual Machine (EVM) has established it as the foundational infrastructure for most decentralised applications and token standards (including

ERC-20 tokens), offering a mature and widely adopted environment for blockchain-based assets such as BLI.

### *1.3 Token Characteristics*

The Token is engineered to fluctuate transparently in accordance with the protocol's performance. The value of the Token is determined algorithmically by reference to the measurable results of the Services: yield generation in the Avantgarde DeFi Yield Vaults and arbitrage profits from the said 'Liquidity Reserve. When the Services produce collateral in excess of what is required to maintain rwaUSD's stability, the Token appreciates in rwaUSD-denominated terms, enabling users who reconvert to rwaUSD to receive more units than initially deposited.

Importantly, holders of the Token do not acquire direct ownership rights in the vault assets or collateral reserves, nor do they obtain contractual claims to redemption at par against an issuer. Their exposure is limited to the ability to exchange the Token back into rwaUSD under the algorithmic rules of the protocol.

The Token therefore reflects collateral performance without constituting a claim, right of repayment, or share in a collective investment. It is an instrument of performance exposure rather than of legal entitlement.

The Token is also designed to be compatible with non-custodial wallet solutions, consistent with the decentralized nature of the Ecosystem. The issuing entity does not exercise custody over user-held tokens, and users retain full control over their holdings at all times.

### *1.4 Tokenomics*

As per the Documentation provided by the Company, there is currently no fixed or pre-announced tokenomics structure applicable to the BLI Token. The Token is not intended to be offered directly by the Company or any affiliated entity but may become available to users through decentralised exchanges (DEXs) or on-chain conversion mechanisms within the BOUND Protocol. Accordingly, BLI does not have a predetermined total supply or a distribution schedule controlled by the issuer.

The circulating supply of BLI is dynamically determined by market demand and protocol activity, as users convert rwaUSD Tokens into BLI and vice versa. This mechanism ensures that supply expands or contracts in response to the volume of user interaction with the protocol and the collateral performance metrics encoded in its smart contracts. As a result, BLI operates on a floating supply model, without a fixed issuance cap or vesting scheme.

### *1.5 Economic model*

The BLI Token functions as a performance-indexed instrument within the BOUND Protocol, designed to algorithmically reflect surplus collateral generated through the protocol's operations. Its value evolves in accordance with objectively verifiable collateral performance, without involving any redistribution of yield or direct profit participation. While part of the protocol's collateral may be managed by a third-party asset manager, such management occurs at protocol level and not on behalf of token holders, who have no ownership or redemption rights in respect of the underlying assets.

Economic activity within the BOUND ecosystem arises exclusively from user interaction with the protocol's conversion mechanism between rwaUSD and BLI, with the Token's market value determined by these interactions and by autonomous market dynamics and by management of the vaults and arbitrage profits. The Company exercises no discretionary control over BLI supply,

value, or circulation, and the Token's economic function remains limited to providing algorithmic exposure to collateral performance within the protocol.

### 3. EU LAW PERSPECTIVE

#### 3.1. *Body of legislation*

The EU regulatory framework comprises several legislative acts related to crypto - assets and blockchain financial activities, including:

- a) Regulation (EU) 2023/1114 of the European Parliament and of the Council of 31 May 2023 on markets in crypto-assets, and amending Regulations (EU) No 1093/2010 and (EU) No 1095/2010 and Directives 2013/36/EU and (EU) 2019/1937 ("**MiCA**");
- b) Directive 2014/65/EU of the European Parliament and of the Council of 15 May 2014 on markets in financial instruments and amending Directive 2002/92/EC and Directive 2011/61/EU ("**MiFID II**");
- c) Regulation 600/2014 of the European Parliament and of the Council from 15 May 2014 ("**MiFIR**");
- d) Directive 2013/50/EU of the European Parliament and of the Council of 22 October 2013 ("**Transparency Directive**");
- e) Regulation (EU) No 596/2014 of the European Parliament and of the Council of 16 April 2014 ("**MASS Regulation**");
- f) Directive 98/26/EC of the European Parliament and of the Council of 19 May 1998 ("**Settlement Finality Directive**");
- g) Regulation (EU) No 909/2014 of the European Parliament and of the Council of 23 July 2014 ("**Central Securities Depositories Regulation**");
- h) Regulation (EU) 2022/858 of the European Parliament and of the Council of 30 May 2022 on a pilot regime for market infrastructures based on distributed ledger technology ("**DLT Pilot Regime**");
- i) Regulation (EU) 2022/2065 of the European Parliament and of the Council of 19 October 2022 on a Single Market for Digital Services ("**Digital Services Act**");
- j) Regulation (EU) 2022/2554 of the European Parliament and of the Council of 14 December 2022 on digital operational resilience for the financial sector ("**DORA Regulation**");
- k) the anti-money laundering Directives.

For the purpose of this Legal Opinion, the analysis will focus exclusively on the provisions of Regulation (EU) 2023/1114 on Markets in Crypto-Assets (MiCA), as this regulatory instrument sets out the most relevant and directly applicable legal framework for assessing the qualification of crypto-assets within the European Union. MiCA establishes the key criteria for determining whether a given token may be classified as a utility token, an asset-referenced token, or an e-money token, and provides the necessary legal distinctions between crypto-assets that may fall under the scope of existing financial instruments legislation (such as MiFID II) and those that fall within its own regulatory perimeter.

### 3.2. MiCA Regulation

Regulation (EU) 2023/1114 of the European Parliament and of the Council of 31 May 2023 on markets in crypto-assets (MiCA) establishes a harmonised legal framework within the European Union for the issuance, offering to the public, and admission to trading of crypto-assets, as well as the authorisation and supervision of crypto-asset service providers (CASPs).

Pursuant to Article 2(1) MiCA, the Regulation applies to “natural and legal persons and other undertakings that are engaged in the issuance, offer to the public and admission to trading of crypto-assets or that provide services related to crypto-assets in the Union.” The term “crypto-asset” is broadly defined under Article 3(1)(5) as “a digital representation of a value or of a right that is able to be transferred and stored electronically using distributed ledger technology or similar technology.”

On the basis of this definition, the Token qualifies as a crypto-asset under MiCA, as it is a digital representation of value issued and transferable on a distributed ledger. The key regulatory question, however, is whether it falls under a specific category of regulated tokens under MiCA — namely, (i) asset-referenced tokens (ARTs), (ii) e-money tokens (EMTs), or (iii) other crypto-assets, including utility tokens.

### 3.3. ESMA and complementary legislation.

EU has vested a large number of authorities with attributions related to blockchain markets<sup>1</sup>. The most relevant authority in the reference field is nonetheless represented by the European Securities and Markets Authority (“**ESMA**”).

Especially in the last years, ESMA has drafted preparatory, informative and survey acts as regards cryptocurrencies and the connection between financial instruments and crypto-assets. It shall be stated that ESMA benefits from the aid of Securities and Markets Stakeholders Group (“**SMSG**”), which among other duties provides technical advice on policy development.

The following documents released by or addressed to ESMA were identified to require thorough consideration as at the Drafting Date and for the purposes of this Opinion:

- Report on The Distributed Ledger Technology Applied to Securities Markets, 7 February 2017 | ESMA50-1121423017-285<sup>2</sup>;
- Own Initiative Report on Initial Coin Offerings and Crypto-Assets Securities and Markets Stakeholder Group, 19 October 2018 | ESMA22-106-1338 (“**ESMA-SMSG Report**”)<sup>3</sup>;
- Advice on Initial Coin Offerings and Crypto-Assets, 9 January 2019 | ESMA50-157-1391<sup>4</sup>.

In addition, ESMA has also published several risk analyses, such as the “Decentralised Finance: A categorisation of smart contracts” (11 October 2023 | ESMA50-2085271018-3351)<sup>5</sup>. Although the documents thus identified do not comprise relevant guidelines for the scope of this Opinion until the Drafting Date, We may note according to the afore-mentioned risk analysis on smart-contracts (p. 4): “[f]inancial instruments are contracts, that is, legal agreements involving monetary value such as stocks, bonds, or derivatives”.

---

<sup>1</sup> Of which we may refer to, for instance, the European Blockchain Partnership or the European Union Agency for Cybersecurity.

<sup>2</sup> <https://www.esma.europa.eu/document/report-distributed-ledger-technology-applied-securities-markets> (as at the Drafting Date).

<sup>3</sup> Source of this act can be found at: [https://www.esma.europa.eu/sites/default/files/library/esma22-106-1338\\_smsg\\_advice\\_-\\_report\\_on\\_icos\\_and\\_crypto-assets.pdf](https://www.esma.europa.eu/sites/default/files/library/esma22-106-1338_smsg_advice_-_report_on_icos_and_crypto-assets.pdf) (as at the Drafting Date).

<sup>4</sup> <https://www.esma.europa.eu/document/advice-initial-coin-offerings-and-crypto-assets> (as at the Drafting Date).

ESMA is expected to issue guidelines for clarifying the conditions and criteria for the qualification of crypto-assets as financial instruments. This should be instrumental with respect to the scope of this Legal Opinion, with a special focus on the provisions of Article 2 paragraph (5) of the MiCA Regulation, pursuant to which: *“By 30 December 2024, ESMA shall, for the purposes of paragraph 4, point (a), of this Article issue guidelines in accordance with Article 16 of Regulation (EU) No 1095/2010 on the conditions and criteria for the qualification of crypto-assets as financial instruments”*.

The consultation package released by the Drafting Date clearly state that a crypto-asset should qualify as a financial instrument if it falls within the definition of a transferable security provided by MiFID II, namely if it cumulatively fulfills the following three criteria: (i) not being an instrument of payment, (ii) being “classes of securities” and (iii) being negotiable on the capital market.

With respect to point (ii) above, the consultation paper outlines that market participants should consider the following indicator to identify whether crypto-assets form a class of securities: (i) crypto-assets are issued by the same issuer; (ii) are interchangeable; and (iii) give access to the same rights (e.g. dividend rights, voting rights on the issuer's decision-making process, right over a portion of company's assets or rights to liquidation proceeds).

### 3.4. *Relevant EU terminology*

In order to ensure a clear and consistent understanding of the legal framework applicable to crypto-assets under Regulation (EU) 2023/1114 (MiCA), this section briefly outlines the key terminology introduced by the Regulation. These terms provide the conceptual foundation for assessing whether a given digital asset, such as the Token, falls within MiCA's regulatory scope and under which specific category:

**“Crypto - asset”** As defined under Article 3(1)(5) MiCA, a crypto-asset means “a digital representation of a value or a right that is able to be transferred and stored electronically using distributed ledger technology or similar technology.” This broad definition is intentionally technology-neutral and includes a wide range of tokens, provided they rely on DLT or equivalent infrastructure.

**“Utility Token”** - Although MiCA does not use the term “utility token” in a formal definition, Recital 16 and Article 3(1)(9) describe crypto-assets that are intended to provide digital access to a good or service, available on DLT, and that are only accepted by the issuer of that token. These tokens are functionally designed to operate within a specific application or system, providing access to services rather than financial returns or claims against the issuer.

**“Asset – Referenced Token (ART)”** - Under Article 3(1)(6), an asset-referenced token refers to a crypto-asset that aims to maintain a stable value by referencing any combination of fiat currencies, commodities, crypto-assets, or other assets. These tokens fall under stricter regulatory obligations due to their potential use as a store of value and means of exchange.

**“Electronic – Money Token (EMT)”** - Article 3(1)(7) defines an e-money token as a type of crypto-asset that purports to maintain a stable value by referencing only one official currency and that is issued for the purpose of being used as a means of payment. Such tokens are subject to requirements similar to those applicable to electronic money institutions under existing EU law.

**“Crypto-Asset Service Provider (CASP)”** - As per Article 3(1)(15), a Crypto-Asset Service Provider is any legal or natural person whose occupation or business is the provision of one or more crypto-asset services to third parties on a professional basis. MiCA introduces a licensing and supervisory regime for CASPs operating within the EU, covering services such as custody, exchange, transfer, and execution of orders on behalf of clients.



**“White Paper”** - Article 6 of MiCA requires issuers of crypto-assets (other than ARTs and EMTs) to publish a crypto-asset white paper prior to offering such assets to the public or seeking their admission to trading. The white paper must contain clear, accurate, and non-misleading information on the project, the issuer, the rights and obligations attached to the crypto-asset, and the associated risks.

### 3.5. *Criteria for considering crypto-assets to constitute financial instruments*

According to Art 4 (1)(15) of MiFID II: “*financial instrument*” means those instruments specified in Section C of Annex I”, whilst the latter describes 11 (eleven) categories of actions that count as financial instruments, as follows:

- Transferable securities;
- Money-market instruments;
- Units in collective investment undertakings;
- Options, futures, swaps, forward rate agreements and any other derivative contracts relating to securities, currencies, interest rates or yields, emission allowances or other derivatives instruments, financial indices or financial measures which may be settled physically or in cash;
- Options, futures, swaps, forwards and any other derivative contracts relating to commodities that must be settled in cash or may be settled in cash at the option of one of the parties other than by reason of default or other termination event;
- Options, futures, swaps, and any other derivative contract relating to commodities that can be physically settled provided that they are traded on a regulated market, a MTF, or an OTF, except for wholesale energy products traded on an OTF that must be physically settled;
- Options, futures, swaps, forwards and any other derivative contracts relating to commodities, that can be physically settled not otherwise mentioned in point 6 of this Section and not being for commercial purposes, which have the characteristics of other derivative financial instruments;
- Derivative instruments for the transfer of credit risk;
- Financial contracts for differences;
- Options, futures, swaps, forward rate agreements and any other derivative contracts relating to climatic variables, freight rates or inflation rates or other official economic statistics that must be settled in cash or may be settled in cash at the option of one of the parties other than by reason of default or other termination event, as well as any other derivative contracts relating to assets, rights, obligations, indices and measures not otherwise mentioned in this Section, which have the characteristics of other derivative financial instruments, having regard to whether, inter alia, they are traded on a regulated market, OTF, or an MTF;
- Emission allowances consisting of any units recognized for compliance with the requirements of Directive 2003/87/EC (Emissions Trading Scheme).

Furthermore, as per the definition of “transferable securities” set out at Art 4 (1)(44) of MiFID II: “*transferable securities*” means those classes of securities which are negotiable on the capital market, with the exception of instruments of payment, such as: (a) shares in companies and other securities equivalent to shares in companies, partnerships or other entities, and depositary receipts in respect of shares; (b) bonds or other forms of securitized debt, including depositary receipts in respect of such securities; (c) any other securities giving the right to acquire or sell any

*such transferable securities or giving rise to a cash settlement determined by reference to transferable securities, currencies, interest rates or yields, commodities or other indices or measures”.*

“Payment-type” and “utility-type” crypto-assets. Based on definitions listed in the ESMA Survey Report<sup>5</sup>, it results that “utility-type” crypto-assets constitute the opposite of “payment-type” crypto-assets. It must be noted that “payment-type crypto-assets”<sup>6</sup> would exceed our analysis in particular whereas the Token barely benefit of a legal definition under the current regulatory regime. However, it is important to note that, in our view, if a crypto-asset offers payment features, it cannot be considered a ‘transferable security’ in the first place.

Therefore, from the perspective of EU law only the distinction between “investment-type” and “utility-type” crypto-assets shall be of importance for the subject-matter of this legal opinion. Among these, only “investment-type” is supposed to bear the status of “financial instrument”<sup>7</sup>.

“Investment-type” and “utility-type” crypto-assets. “Investment-type” crypto-assets generally fall under the category of “transferable securities”, which are defined at Article 4(1)(44) from MiFID II as classes of securities which are negotiable on the capital market, with the exception of instruments of payment, such as:

- shares in companies and other securities equivalent to shares in companies, partnerships or other entities, and depositary receipts in respect of shares,
- bonds or other forms of securitized debt, including depositary receipts in respect of such securities,
- any other securities giving the right to acquire or sell any such transferable securities or giving rise to a cash settlement determined by reference to transferable securities, currencies, interest rates or yields, commodities or other indices or measures.

As outlined by ESMA in a simplified language, ‘investment-type’ crypto-assets shall have some profit rights attached, like equities, equity-like instruments or non-equity instruments<sup>8</sup>.

Pursuant to the definitions also set forth by ESMA, “utility-type” crypto-assets are characterized as performing utility functions within the ecosystem and not being meant as a means of payment for external goods and services. This is to say that they “*provide some ‘utility’ or consumption rights, e.g., the ability to use them to access or buy some of the services/products that the ecosystem in which they are built aims to offer*”<sup>9</sup>.

According to some specialists<sup>10</sup>, “*another group are utility tokens, enabling digital access to products (typically applications) or services developed by the utility token issuer using the capital obtained through the ICO. By their nature, they are similar to vouchers authorizing their holders to purchase services or to access products*”.

---

<sup>5</sup> ESMA’s Legal qualification of crypto-assets – survey to NCAs, January 2019 | ESMA50-157-1384, available at: [https://www.esma.europa.eu/sites/default/files/library/esma50-157-1384\\_annex.pdf](https://www.esma.europa.eu/sites/default/files/library/esma50-157-1384_annex.pdf) (as at the Drafting Date).

<sup>6</sup> “Used as a means of payment or exchange for goods or services that are external to the DLT ecosystem on which they are built” (emphasis added).

<sup>7</sup> As explicitly stated at par. (86) of the ESMA Advice: “*The fact that no NCA labelled case 5 as a transferable security and/or financial instrument suggests that pure utility-type crypto-assets may fall outside of the existing financial regulation across Member States. The rights that they convey seem to be too far away from the financial and monetary structure of a transferable security and/or a financial instrument*” (emphasis added). Moreover, the “investment-type” is the only one regarded, and that in a definitory way, as “*a type of crypto-asset that resembles a financial instrument*”.

<sup>8</sup> See: [https://www.esma.europa.eu/sites/default/files/library/esma50-157-1391\\_crypto\\_advice.pdf](https://www.esma.europa.eu/sites/default/files/library/esma50-157-1391_crypto_advice.pdf) (as at the Drafting Date).

<sup>9</sup> *Idem*.

<sup>10</sup> Martin Hobza ICOs, *Cryptoassets and MiFID II: Are Tokens Transferable Securities*, published in Charles University in Prague Faculty Of Law no. 2020/III/1, pg. 4.

In a more extensive manner, the SMSG Report states about ‘utility-type’ crypto-assets that they “*may facilitate trading in such services and present an alternate source of early-stage funding for innovative projects. They are comparable to a voucher and to crowdfunding by coupon. They allow prefunding of a future business without diluting ownership. In this respect they represent an alternative model to traditional venture capital funding, insofar as the project owner transfers a proportion of the project risk to future consumers without diluting ownership interests*”.

Apart from funding, those tokens also have a business dimension: by issuing them the issuer creates a network of users capable of further increasing the value of the business. As a final note in this respect, we shall mention that based on a different account<sup>11</sup> ‘utility tokens’ are referred to as “application tokens”.

Separately, we have noticed that apart from the expression “*negotiable on a capital market*”, the regulation of ‘investment-type’ crypto-assets, under its third element (“*any other securities giving the right to acquire or sell any such transferable securities or giving rise to a cash settlement determined by reference to transferable securities, currencies, interest rates or yields, commodities or other indices or measures*”) present a very broad scope that may comprise almost any material and non-material assets, ‘utility-type’ included. Law professional are nonetheless acquainted to the principle of interpretation based on the legislator’s purpose (or the spirit of the law). In this respect, it shall be outlined that since even official statements such as the ESMA’s warnings on crypto-assets point out that crypto-assets typically fall outside existing protection under current EU financial services rules<sup>12</sup>, one shall not restrict its interpretation in a narrow vision. Furthermore, in order to avert erroneous conclusions, criteria which individualizes utility-tokens separately from transferable securities shall be firstly assessed, before taking into consideration any additional prerequisite.

It is therefore logical that one must verify, especially after ruling out the ‘payment-type’, whether the crypto-asset in question meets the ‘utility-type’ prerequisites as a matter of priority. We appreciate that only afterwards one shall check the additional legal criteria set forth in view of construing that a crypto-asset must be deemed a financial instrument.

As far as NFTs would be generally concerned, it should be pointed out that albeit the MiCA Regulation does not apply to crypto-assets qualified as financial instruments, some recitals to this legislative act which is yet to become applicable could be considered relevant. Thus, even if “*the exclusion of crypto-assets that are unique and non-fungible from the scope of this Regulation is without prejudice to the qualification of such crypto-assets as financial instruments*”<sup>13</sup>, one shall notice that “[w]hile unique and non-fungible crypto-assets might be traded on the marketplace and be accumulated speculatively, they are not readily interchangeable and the relative value of one such crypto-asset in relation to another, each being unique, cannot be ascertained by means of

---

<sup>11</sup> Vlad Burilov, *Regulation of Crypto Tokens and Initial Coin Offerings in the EU*, published in the European Journal of Comparative Law and Governance no. 6/2019 (available on <https://brill.com>). According to this paper: “*In contrast to the general function of protocol tokens (medium of exchange on the native blockchain network) application tokens may have multiple functions within an individual application or organization. Protocol tokens do not entitle someone to any rights per se – network users agreed that they have value because of their underlying infrastructure. App tokens vest their holders ‘with predefined rights, privileges, and rewards within a particular online application or service’ which may be triggered either by their transfer or mere holding. Some of the app tokens are colloquially called ‘utility tokens’ and entitle their owners to access and consume products of the Platform or commit work to the Platform. Others are colloquially called ‘security tokens’ and provide their holders with economic interest such as a share of profits of the Platform. In general terms, the structure of an ICO and the rights assigned to tokens together may have implications for the legal qualification of the app token as a utility or a security*”.

<sup>12</sup> See, for a recent example: [https://www.eiopa.europa.eu/system/files/2022-03/esa\\_2022\\_15\\_joint\\_esas\\_warning\\_on\\_crypto-assets\\_en.pdf](https://www.eiopa.europa.eu/system/files/2022-03/esa_2022_15_joint_esas_warning_on_crypto-assets_en.pdf) (as at the Drafting Date).

<sup>13</sup> See par. 11 of the Recital to the MiCA Regulation.

*comparison to an existing market or equivalent asset. Such features limit the extent to which those crypto-assets can have a financial use, thus limiting risks to holders and the financial system, and justifying their exclusion from the scope of this Regulation*<sup>14</sup>. This is to say that by comparison to the fungible crypto-assets, NFTs' properties generally deem them as less problematic in terms of financial implications, element which may constitute a valid criterion for assessing the application of the financial instruments' regulations, at least while construing the scope or spirit of law when NFTs would be in question.

The DLT Pilot Regime, the DORA Regulation and the Digital Services Act does not comprise other criteria for assessing whether a crypto-asset should be qualified as a financial instrument. However, the DLT Pilot Regime establishes a series of crypto-assets that if qualified as financial instruments would be governed under a special legislative framework based on derogatory provisions and on possibilities requesting further exemptions from the rules set of throughout MiFID II.

As a takeaway from the legislative evolution registered so far, several assertions still require to be outlined in the sense that: (i) the financial instruments' regulations would not automatically apply to crypto-assets which allow access to physical products or services; (ii) the regular (non-security) regime of crypto-assets comes into play generally when the crypto-asset at hand is primarily meant to provide access to products and services pertaining to the issuer thereof or to a given ecosystem; (iii) when such criteria is met, the crypto-asset should be deemed to fall outside of the scope of European Union legislative acts on financial services, in order to „avoid imposing unnecessary and disproportionate regulatory burden on the use of technology”<sup>15</sup>.

### 3.6. Conclusion as to the EU perspective.

Under the current EU legal framework, crypto-assets may fall under different regulatory regimes depending on their characteristics and intended use. The key distinction lies between those crypto-assets that qualify as financial instruments under Directive 2014/65/EU on markets in financial instruments (MiFID II), and those that are governed under Regulation (EU) 2023/1114 on Markets in Crypto-Assets (MiCA). MiCA does not apply to crypto-assets that qualify as financial instruments, which remain regulated under MiFID II and related financial services legislation.

MiCA introduces a categorisation framework for crypto-assets, generally distinguishing between (i) asset-referenced tokens (ARTs), (ii) e-money tokens (EMTs), and (iii) a residual category often referred to as utility-type crypto-assets, which are covered under Title II of MiCA.

Importantly, crypto-assets that qualify as “investment-type” — i.e. those that exhibit characteristics akin to transferable securities, units in collective investment undertakings, or derivatives — may fall within the definition of financial instruments under MiFID II, and are excluded from MiCA's scope pursuant to Article 2(4)(a) MiCA.

Conversely, crypto-assets designed solely to provide access to a specific digital service or product within a decentralised application — such as those facilitating access to functionalities in a mobile app or ecosystem, without granting rights akin to ownership, revenue-sharing, or asset-backing — are typically understood as utility-type crypto-assets and are regulated under Title II of MiCA. These tokens are not considered financial instruments under MiFID II, provided they do not replicate features typical of such instruments.

For the purpose of this Legal Opinion, all references to “utility” or “utility-type” crypto-assets (including the Token) are made with reference to the principles laid down in Title II of MiCA. This may

---

<sup>14</sup> See par. 10 of the Recital to the MiCA Regulation.

<sup>15</sup> See par. 6 of the Recital to the MiCA Regulation.

include crypto-assets that do not strictly meet the definition of a “utility token” as understood in market wording but which are designed to serve a functional purpose within a digital environment, such as facilitating transactions, granting access to specific services, or enabling interaction within a closed DLT-based ecosystem.

While debates remain as to the exact regulatory BLI between investment-type and utility-type crypto-assets — a topic also acknowledged by the European Securities and Markets Authority (ESMA) — certain indicia have emerged as practical differentiators. These include, but are not limited to:

- the token’s primary purpose being the consumption of services within a digital ecosystem;
- the absence of rights to profits, voting rights, or claims against the issuer akin to shares or bonds;
- the lack of asset-backing or redemption at par value;
- and the non-speculative nature of the token’s economic function.

#### **4. ROMANIAN LAW PERSPECTIVE**

From a Romanian legal perspective, the regulatory treatment of crypto-assets is largely aligned with the European Union framework, particularly through the transposition of relevant EU directives and the direct application of EU regulations. As such, the analysis conducted under EU law — and especially under MiCA — is generally applicable in the Romanian context.

Also, Romania has transposed Directive 2014/65/EU (MiFID II) through Law no. 126/2018 on markets in financial instruments, which defines “financial instruments” and “investment services and activities.” This law mirrors the key principles of MiFID II, meaning that Romanian legislation adopts the same approach when determining whether a crypto-asset qualifies as a financial instrument and therefore falls outside the scope of MiCA, pursuant to Article 2(4)(a) of the Regulation.

Additionally, Law no. 129/2019 on preventing and combating money laundering and terrorist financing (which implements Directive (EU) 2018/843, the 5th Anti-Money Laundering Directive) introduced the notion of virtual currencies into Romanian legislation. This partially regulates the transfer and use of crypto-assets and extends AML obligations to service providers dealing with such assets.

Romanian law defines digital currencies as “a digital representation of value that is not issued or guaranteed by a central bank or public authority, is not necessarily linked to a legally established currency, and does not have the legal status of currency or money, but is accepted by natural or legal persons as a means of exchange and can be transferred, stored, and traded electronically.” This definition overlaps with the MiCA concept of a crypto-asset, although it predates the Regulation.

In the broader legal landscape, various other Romanian statutes make reference — either directly or indirectly — to crypto-assets. For instance, from a criminal law perspective, certain provisions address the use of virtual currencies in illicit activities, such as money laundering, fraud, or cybercrime. Moreover, key Romanian institutions, including the National Bank of Romania (BNR), the Financial Supervisory Authority (ASF), and the National Agency for Fiscal Administration (ANAF), have issued formal opinions or interpretive guidance on crypto-assets. While these are not legally binding, they contribute to the legal understanding and supervisory approach applicable in Romania.

#### **5. LEGAL ANALYSIS**

##### **5.1. Overview**

By taking into account the assertions set out at Sections 3 and 4 above, we will continue to proceed with the analysis of the Token features in comparison with the pinpointed criteria for differentiating between 'utility-type', 'ART' and 'security-type' crypto-assets (within the meaning that the latter represents financial instruments), from the perspective of Romanian and European Union law, as grounded on the Documentation.

However, the logical order in which we shall proceed is by outlining the perspective of the EU law, and only thereafter to advance into a Romanian law analysis.

## **5.2. EU law analysis**

As we have pointed out at Section 3.5 above, as per a logical and consistent approach, the incidence of 'utility-type' or 'ART/EMT' category should be assessed before verifying the additional prerequisites of 'transferable securities', whereas a different approach can mislead one to erroneous conclusions.

Hence, we shall firstly consider a series of general criteria that can be roughly drawn up from the legal norms and communications issued by the EU's entities, and secondly observe the other conditions which form the notion of financial instruments.

Additionally, wherever the category of payment tokens would be identified, it shall present little to no importance for the qualification of that respective crypto-asset as a financial instrument. This is due to an express assertion outlined in that respect by the relevant authorities (as outlined under Section 3 above), and subsequently to the evolution of the EU legal regime in this field - MiCA, which seems to include the tokens' payment features within the notion of 'utility-type'.

The following points may provide a comprehensive analysis of the functionalities associated to the Token, by taking into account the criteria established throughout this Legal Opinion as to whether this particular crypto-asset can be classified as a non-financial or financial instrument. Such evaluation is meant to consider both the legal framework enacted at the European Union level and the relevant Documentation.

### **5.2.1. Qualification under MiCA**

Based on the Documentation provided by the Company, the BLI Token operates as a performance-based crypto-asset within the BOUND Protocol, providing users with algorithmic exposure to the surplus collateral generated through the protocol's dual-component collateral system.

The token's value reflects the collateral performance of the protocol, which combines liquid reserves and yield-bearing vault positions. The vault component may be managed by a regulated third-party asset manager (Avantgarde), whose role is limited to collateral optimization at the protocol level and does not extend to the management of assets on behalf of token holders.

The protocol incorporates an automated mechanism (the Atomic Price Stabilization System or APSS) designed to align market prices of rwaUSD with its reference value and to capture any residual value differentials arising from stabilization operations. These proceeds accrue to the protocol's reserves and form part of the collateral surplus that underpins BLI, but they are not distributed to holders nor do they create redemption or profit rights. The presence of this arbitrage mechanism, while economically relevant, does not in itself alter the legal characterization of the token, as it operates automatically and does not imply any guarantee or right of repayment to users.

Accordingly, BLI does not meet the defining criteria of either an E-Money Token (EMT) or an Asset-Referenced Token (ART) under MiCA. It does not pursue a stability objective by reference to an official currency or basket of assets, nor does it purport to maintain a fixed or redeemable

value. Instead, its value fluctuates according to the collateral performance of the protocol, determined by objective, on-chain parameters. The token functions as a performance-indexed utility token, granting users algorithmic exposure to the protocol's collateral dynamics rather than operating as a store of stable value or payment instrument.

Nevertheless, the fact that part of the collateral is managed externally by third - party entity introduces a theoretical risk that a competent authority could construe the token as referencing a set of assets within the meaning of an ART. If such interpretation were adopted, BLI could fall within the ART regulatory regime under MiCA, requiring issuer authorization and compliance with associated prudential, governance, and reserve management requirements.

However, in such a scenario, the issuer may rely on the limited issuance exemption under Article 16(2) of MiCA, which applies where the total value of the tokens in circulation does not exceed EUR 5 million over any 12-month period.

Given that the BOUND Protocol is designed such that token supply adjusts dynamically based on market interactions, it is recommended that the Company continuously monitor the total market value of BLI tokens in circulation. Should the aggregate value exceed the EUR 5 million threshold, the exemption would no longer apply and the full authorization process under MiCA's ART framework would need to be initiated without delay.

#### **5.2.2. MiFID II Analysis**

Under Directive 2014/65/EU ("MiFID II"), the key issue is whether the BLI Token qualifies as a financial instrument, in particular as a transferable security or as a unit in a collective investment undertaking (CIU).

The analysis below follows the criteria and definitions provided in MiFID II, as further interpreted by the European Securities and Markets Authority (ESMA) and the Court of Justice of the European Union (CJEU).

##### *a. Transferable Securities*

Article 4(1)(44) of MiFID II defines transferable securities as:

"those classes of securities which are negotiable on the capital market, with the exception of instruments of payment, such as—

- (a) shares in companies and other securities equivalent to shares in companies, partnerships or other entities, and depositary receipts in respect of shares;
- (b) bonds or other forms of securitised debt, including depositary receipts in respect of such securities; and
- (c) any other securities giving the right to acquire or sell any such transferable securities or giving rise to a cash settlement determined by reference to transferable securities, currencies, interest rates or yields, commodities or other indices or measures."

The essential characteristics of a transferable security therefore include:

- o Negotiability (ability to be transferred or traded on capital markets);
- o Legal rights against an issuer or underlying entity, typically ownership, repayment, or profit-sharing rights; and
- o Economic function equivalent to shares, bonds, or derivatives.

The BLI Token, while tradable on decentralized markets, does not evidence any legal right or claim against an issuer, nor does it confer ownership, voting, profit participation, or redemption entitlements. Its market value is derived solely from algorithmic adjustments reflecting the protocol's collateral performance. Token holders have no contractual or statutory right to receive payment or returns from the Company or from any person managing the collateral.

Even though BLI may appreciate in value in correlation with the performance of collateral managed by a third party, this appreciation occurs automatically and impersonally, without any discretionary management or issuer promise. The token's value evolution reflects the internal mechanics of the protocol rather than the exercise of managerial or fiduciary functions. On that basis, BLI does not constitute a transferable security within the meaning of MiFID II, as it lacks both the legal rights and the issuer relationship that define securities under EU law.

For completeness, we note that BLI may be obtained exclusively by converting rwaUSD tokens and may later be exchanged back for rwaUSD at a variable rate that reflects protocol-level collateral performance. While this mechanism may result in a holder receiving a greater quantity of rwaUSD upon reconversion, such outcome is the product of an algorithmic recalculation of on-chain collateral ratios and does not constitute a contractual right to profit, return, or repayment. The holder does not acquire a claim against the issuer, the protocol operators, or the collateral pool, nor does the mechanism establish any form of ownership, participatory, or creditor right

b. Collective Investment Undertakings (CIUs)

MiFID II does not itself define "collective investment undertaking," but the concept is interpreted consistently with the Alternative Investment Fund Managers Directive (AIFMD) (Directive 2011/61/EU), which in Article 4(1)(a) defines a CIU as:

"any undertaking which raises capital from a number of investors, with a view to investing it in accordance with a defined investment policy for the benefit of those investors."

On this basis, the elements of a CIU are:

- o Raising of capital from multiple investors;
- o Pooling of the raised capital into a common investment;
- o Management of the pooled assets by a third party following a defined investment policy; and
- o Expectation of profit shared among investors based on the performance of the managed assets.

Although the BLI Token is linked to a pool of collateral that includes yield-generating assets managed by Avantgarde, token holders do not contribute capital for the purpose of investment management, nor do they enter into any contractual or fiduciary relationship with the manager.

The external management activity is conducted at the protocol level, and its outcome merely influences the algorithmic calculation of token value. BLI holders do not share in profits or bear losses in the manner of investors in a collective scheme.

Furthermore, the BOUND Protocol operates through automated smart contracts rather than discretionary portfolio management. The yield generation and arbitrage functions are governed by fixed algorithmic logic, with no element of human judgment or ongoing investment policy execution for the benefit of holders. These features are inconsistent with the notion of an investment undertaking.



The involvement of a third-party asset manager and the automated arbitrage operations do not, in themselves, create a financial-instrument relationship within the meaning of MiFID II. These elements form part of the protocol's internal economic logic and do not establish fiduciary management of investor capital or profit participation.

The BLI Token therefore remains outside the scope of MiFID II, falling instead within the broader framework of crypto-assets governed by MiCA.

Nevertheless, it should be expressly noted that the interpretation of what constitutes a "financial instrument" remains within the competence of ESMA and other European supervisory authorities, as well as the national competent authorities of Member States.

Also, it should be expressly noted that the interpretation of whether the BLI Token may qualify as a "financial instrument" ultimately falls within the competence of the European Securities and Markets Authority (ESMA) and other European supervisory authorities, as well as the relevant national competent authorities of Member States.

These authorities may, in future guidance or supervisory practice, adopt a broader interpretation that could encompass certain performance-based or collateral-linked tokens such as BLI. This opinion reflects our independent professional assessment based on the current EU legal framework and supervisory practice but does not bind or anticipate the views of ESMA, the European Commission, or any competent national authority.

### *5.3. Analysis of the Token under the Romanian Law*

From a national perspective, the relevant framework is set out under Law No. 126/2018 on markets in financial instruments, which transposes Directive 2014/65/EU (MiFID II) into Romanian law, together with Law No. 74/2015 implementing the AIFMD. The Romanian regime mirrors the MiFID II definitions and interpretative criteria for transferable securities and units in collective investment undertakings (CIUs), as detailed in the analysis above.

Given the parallel legal structure and interpretative approach, the conclusions reached under MiFID II apply correspondingly under Romanian law. The BLI Token, as described in the Documentation, does not establish rights of ownership, repayment, or profit participation and is not linked to a collective investment policy conducted on behalf of token holders. Accordingly, it would not qualify as a financial instrument within the meaning of Law No. 126/2018 or as a unit in a collective investment undertaking under Law No. 74/2015.

It should nonetheless be noted that the Romanian Financial Supervisory Authority (ASF) retains discretion in the application of these definitions to emerging crypto-asset structures. Divergent interpretative approaches, especially in coordination with ESMA, may arise as supervisory practice evolves. This assessment is therefore based on the legal and regulatory position as of the date hereof and may require reassessment following subsequent ASF or EU-level guidance.

## **6. CONCLUSIONS**

On the basis of the factual description provided and the regulatory criteria set out under MiCA and MiFID II, our assessment may be summarized as follows:

- a. **Utility Features** - The Token should primarily be viewed as a utility / performance-index token, as it functions as the exclusive means of accessing the Services and provides exposure to surplus collateral created within the protocol. Its economic function is internally tied to the protocol's operations, without granting ownership rights, profit entitlements, or legal claims;

- b. **MiFID II Perspective** - The BLI Token does not constitute a financial instrument within the meaning of Directive 2014/65/EU (MiFID II) or Law No. 126/2018 on markets in financial instruments. The Token grants no ownership, repayment, or profit-sharing rights, and does not represent a unit in a collective investment undertaking under Law No. 74/2015. The management of collateral by a third-party entity occurs at the protocol level and does not amount to discretionary investment management on behalf of token holders. Consequently, BLI falls outside the perimeter of EU and Romanian securities regulation.

Nevertheless, we expressly note that the interpretation of what constitutes a “financial instrument” remains within the competence of ESMA and the relevant national authorities. These authorities may, in future guidance or supervisory practice, adopt a broader approach that could affect the regulatory treatment of performance-linked crypto-assets such as BLI.

## 7. **DISCLAIMER**

### 7.1. *Assumptions*

Every addressee of this Opinion shall acknowledge that we have taken the assumptions provided below in accordance with Company’s instructions (hence, not independently) and that should any of these assumptions would be ultimately proved to be untrue, this may change the afore-given analysis and even its conclusions (opinions), yet we must be held harmless in any case, namely:

- copy documents, conformed copies or drafts of documents provided to us are true and complete copies of, or in the final forms of, the originals;
- all factual representations expressed in or implied by the documents we have examined are accurate and complete, as in the exclusive capacity as law professional we are not able to conduct technical/technological audits;
- there is nothing under any law to which this opinion may be subject (especially to laws of the member states of the European Union that we certainly have not expressed an appropriate opinion) which would or might affect the opinions hereinafter stated;
- that no holder of the Token will be entitled to vote or receive dividends or be deemed shareholder of Company for any purpose, nor shall anything contained in Company’s documentation be construed to confer on the holder of the Tokens any rights of a shareholder of Company or any right to vote for the election of directors or upon any matter submitted to shareholders at any meeting thereof, nor to give or withhold consent to any corporate action or to receive notice of meetings, or to receive subscription rights or otherwise of any nature in Company;
- the intentions of Company as expressed throughout the Documentation will be followed and implemented exactly as stated and that they are not misleading due to the omission of any material matter, since we cannot express an opinion in connection to any such facts or information;
- none of the documents, authorizations, powers and authorities examined by us have been amended, supplemented, terminated (whether by written agreement, orally or by the course of dealings or otherwise) or affected by any subsequent action not disclosed to us;
- Documentation does not violate and will not violate any other agreement to which it is a party of or under which it is purported to be BLI by, nor other legal provisions capable of annulling or otherwise invalidating or deeming them void, as well as any part thereof;
- Company holds valid entitlement(s) conferred by the relevant authorized bodies to render all operations contemplated herein, whether of legal or technical nature, and that such titles were duly registered with the relevant registries for ensuring enforceability against third parties, if such an element would be henceforth required.

### *7.2. Limitation to scope and purpose.*

This legal opinion is strictly limited to the matters and the scope expressly stated herein, and may not be read as extending by implication to any matters not specifically referred to (irrespective on their nature, whether on intellectual property, taxation or any other issue). Whenever an assertion contained herein makes reference to a law that treats discussions different from the matters and the scope expressly stated herein, this shall be construed as an additional reference that shall not contradict the afore-given statement.

This document represents strictly the legal opinion of VD Law Group and shall not be construed or presented as a mere fact or as absolute truth. Wherever we provide a statement in this opinion, we are expressing our view strictly as law professionals, but this does not guarantee that a court or any other regulatory authority of Romania or EU would necessarily come to the same view.

This opinion is addressed solely to the Company for its benefit and based on the mandate thereby given to us, so that it may only be relied upon only to the extent of that connection. It is also issued on the basis that we undertake no responsibility and we are under no obligation to advise the Company in relation to any other matters, including as to any additional features of the Token that may be introduced later, which are not set forth within the Documentation.

### *7.3. Laws and regulations.*

This opinion is limited to Romanian and European Union law as applied by the Romanian courts and in force at the Drafting Date, and it does not extend to matters of fact. This opinion is given on the basis that all matters relating to it will be governed by, and that it (including all terms used in it) will be construed in accordance with Romanian law and the applicable provisions of EU law. Little or no authoritative interpretation or case law exists with respect to the main discussion which constitutes the subject-matter of this opinion.

Accordingly, there can be no assurance that determinations hereafter reached by the courts of competent jurisdiction in Romania will concur with such opinions expressed herein. Due to the novelty of the threads elaborated herein, there is still no substantial case law, general interpretation or market practice in relation to their interpretation and application, with the result that We cannot rule out the possibility that courts, other public authorities or other persons in Romania will form a different view than the opinions expressed herein.

For the purposes of this opinion, Romanian legal concepts are expressed in English terms and not always in their original Romanian terms, whilst the concepts concerned may not be identical to the concepts described by the same English term as they exist under the laws of other jurisdictions. Romanian legal terms appended to an English term and marked with "Romanian language" shall gain precedence for the interpretation of the opinion provided herein. Consequently, we accept no responsibility for omissions or inaccuracies to the extent that they are attributable to such factors.

This opinion is limited, and relates solely to EU laws and Romanian laws in force at the Drafting Date. Accordingly, we do not express or imply any opinion whatsoever as to any laws of other countries (inclusively as to US) and we have made no investigation of any other laws in what may concern the documents submitted to us.

### *7.4. Limitation in time*

This Opinion speaks only as of the date hereof, it does not refer to or take into account any changes in legislation or in the interpretation or application thereof and we do not have any obligation to update it, nor to notify you of any such changes. Moreover, where this opinion refers to documents which pre-dated it, it does not speak to the past and only refers to them as at

drafting date, and we express no opinion in relation to such documents or any rights or obligations thereunder at any date prior to the date hereof.

*7.5. Limitation to document.*

We have relied upon only on the Documentation and the documents expressly referred to throughout this opinion, and compiler has not observed, not its opinion relies upon any of Company's corporate documentation.

*7.6. Confidentiality and addressees.*

The existence of this document and any oral or written information exchanged between the parties in connection to its preparation and performance are confidential information. The Company shall maintain confidentiality of all such confidential information, and without obtaining the written consent of the other party, it shall not disclose any relevant confidential information to any third parties, except for the information that: (a) is or will be in the public domain (other than through the receiving party's unauthorized disclosure); or (b) is under the obligation to be disclosed pursuant to the applicable laws or regulations, rules of any stock exchange, or orders of the court or other government authorities. Disclosure of any confidential information by the bodies or agencies hired by the Company shall be deemed disclosure of such confidential information, and it shall be held liable for breach.

It is not to be transmitted to anyone else or quoted or referred to in any public document or filed with anyone except (i) as required by law or regulation, (ii) to any regulatory authority having jurisdiction over the Company, or (iv) (in any other circumstances) with our prior written consent. Nonetheless, except as previously provided, this opinion is not to be transmitted to anyone nor is it to be relied upon by anyone or for any other purpose or quoted or referred -to in any public document or filed with anyone without our written consent.

This opinion is not to be relied upon by, nor do we accept any liability to, anyone other than the Company (even though you may have provided a copy to another person or may have referred to this opinion in any document or filing).

*7.7. Limitation of liability.*

To the extent legally permitted, it is agreed that our total liability for any actions, claims, losses, liabilities, damages, costs, charges or expenses suffered or incurred by you arising, directly or indirectly, in connection with this opinion, any engagement or any other advice from us relied on by you in relation to the matters referred to herein shall be limited to the amount paid out, if any, under our professional liability insurance policies, plus the amount of the own risk deductible that is not for the account of the insurers under the policy conditions. In the event and to the extent that no monies are paid out under our professional liability policies for whatever reason and to the extent legally permitted under the laws or regulations of the relevant jurisdictions, our liability shall be limited to an amount equal to our total fees charged in the matter concerned.

duly issued by **VD Law Group**  
represented by attorney Bogdan Rotaru  
in his capacity as Partner